Corporate Credit Risk & KYC Review

Super Micro Computer, Inc. | NASDAQ: SMCI

Independent public-source assessment • FY2024–FY2026 • Information cut-off: 12 November 2026

Executive view

SMCI reported rapid revenue and earnings growth in FY2026, but this did not translate into operating cash generation. Operating cash flow was negative $6.81bn, while interest coverage continued to fall. The review also identifies an open IT general-controls weakness, unresolved litigation and export-control inquiries. The financial score is Moderate (3.00/5.00); the separate KYC and compliance score is High (3.55/5.00). On public information alone, the case supports further due diligence rather than unconditional credit approval.

Three-year financial indicators

Indicator	FY2024	FY2025	FY2026
Revenue ($bn)	14.99	21.97	39.06
R&D expense ($mm)	463.5	636.6	771.2
R&D expense / revenue	3.09%	2.90%	1.97%
DSO (days)	47.3	41.0	38.9
Operating cash flow ($bn)	(2.49)	1.66	(6.81)
Net income ($bn)	1.15	1.05	2.23
Total liabilities / total assets	44.87%	55.05%	51.65%
Interest coverage (x)	62.4x	21.0x	14.2x

Source: company Form 10-Ks. Amounts are in USD. FY2024–FY2026 fiscal years ended June 30. [1] [2]

What the numbers show

- **Cash conversion weakened.** FY2026 revenue increased 77.8% and net income reached $2.23bn, but operating cash flow was negative $6.81bn. The company attributed the decline in operating cash flow mainly to higher inventory purchases, customer receivables and operating spend. [1]
- **Working capital expanded sharply.** Year-end receivables rose from $2.20bn to $6.13bn and inventory from $4.68bn to $12.90bn. DSO nevertheless improved to 38.9 days; the data therefore point to greater working-capital funding needs, not a demonstrated deterioration in collection speed. [1]
- **Interest cover remains positive but has narrowed.** Interest expense increased to $194.6m in FY2026 from $59.6m in FY2025. Operating income still covered interest expense 14.2 times, compared with 62.4 times in FY2024. [1]

Key risk findings

Financial red flags

Issue	Evidence	Credit implication
Operating cash flow	FY2026 OCF: $(6.81)bn; net income: $2.23bn. Management cites higher inventory purchases, receivables and operating spend.	Cash conversion weakened materially. Review working-capital forecasts, supplier terms and the timing of customer receipts.
Inventory and receivables	Inventory: $12.90bn vs $4.68bn (+175.5%). Receivables: $6.13bn vs $2.20bn (+178.0%).	Higher cash tied up in operating assets; test inventory ageing, order cover, customer acceptance and subsequent collections.
Financing cost	Interest expense: $194.6m vs $59.6m. Interest coverage fell to 14.2x from 21.0x in FY2025.	Coverage remains above 10x under this model, but the decline and new financing require debt maturity and covenant review.

Latest-quarter context: the FY2027 Q1 filing reported that one customer represented 44.0% of quarterly net sales and that non-cancellable purchase commitments were $33.3bn as of 30 September 2026. These items fall outside the three-year annual scorecard but should be reviewed before setting a facility limit. [3]

The DSO calculation uses average opening and closing net receivables divided by total revenue and multiplied by 365. Total revenue is a proxy for credit sales because a separate credit-sales figure was not used in this model.

Governance, legal and compliance

- **Auditor resignation.** EY resigned on 24 October 2024 while conducting its first audit of SMCI's FY2024 statements. EY cited concerns about governance, transparency, information provided to the auditor and internal controls. The company disagreed. A company-appointed Special Committee later reported no evidence of management or Board misconduct, while identifying process lapses and recommending stronger governance arrangements. The resignation is a risk signal, not proof of fraud. [4] [5]
- **Internal controls.** One IT general-controls material weakness remained unremediated as of 30 September 2026. It relates to controls over certain financial-reporting systems and timely, consistent monitoring of user access. Management said disclosure controls were not effective at that date, while also stating that the Q1 financial statements fairly presented the company's position. BDO's adverse opinion concerned FY2026 internal control over financial reporting; its FY2026 financial-statement opinion was unqualified. [1] [3]
- **Ownership and related parties.** The CEO and Sara Liu were disclosed as collectively beneficially owning 12.2% of common shares as of 31 July 2026; directors and executive officers held 12.5% as a group. Ablecom and Compuware are related parties with family or ownership links to SMCI executives. Combined purchases were $725.7m in FY2026 (2.1% of cost of sales). These facts warrant conflict-of-interest and pricing controls review, but do not establish misconduct or complete UBO status. [1]
- **Litigation and export controls.** The Q1 FY2027 filing describes securities class actions and shareholder derivative claims that remain at a preliminary stage, with possible losses not yet estimable. It also reports an indictment of three individuals in an alleged export-control conspiracy, SEC and DOJ subpoenas, and BIS/OEE information requests. The company says it is cooperating and has not been informed that it is the target of the OEE inquiries. The allegations are not findings against the company. [3]
- **Sanctions and restricted-party screening.** Limited name-based searches were carried out using OFAC and the U.S. Consolidated Screening List. No confirmed match was established from the reviewed material, but some fuzzy-match candidates were not fully adjudicated and the CSL search audit trail was not retained. This is a preliminary exercise, not sanctions clearance. [6] [7]

Risk rating and lending recommendation

The two scores are shown separately. They are not averaged into one number because financial capacity and compliance risk answer different questions.

Financial credit risk

Factor	Weight	Score
R&D intensity	5%	3
DSO	15%	1
Operating cash flow	30%	5
Net income	10%	2
Liabilities / assets	20%	3
Interest coverage	20%	2
Total	**100%**	**3.00**

KYC and compliance risk

Factor	Weight	Score
Audit / governance	15%	4
Internal controls	25%	4
Ownership	10%	3
Related parties	15%	3
Litigation	15%	3
Export controls	15%	4
Sanctions screening	5%	3
Total	**100%**	**3.55**

Financial rating: MODERATE (3.00 / 5.00) | KYC and compliance rating: HIGH (3.55 / 5.00)

Recommendation

Do not grant unconditional approval on the basis of this public-source review. The company has substantial reported revenue, positive net income and $7.52bn of cash and cash equivalents at 30 June 2026. However, the FY2026 operating cash outflow, rapid growth in inventory and receivables, declining interest cover, 44% single-customer concentration in Q1 FY2027 and unresolved control and regulatory matters justify additional work before a facility decision.

- **Before credit approval:** obtain monthly cash-flow forecasts; debt and convertible-note maturity schedules; borrowing-base detail; receivables ageing and subsequent cash receipts; inventory ageing, order coverage and write-down analysis; top-customer exposure; and details of non-cancellable purchase commitments.
- **Conditions if a facility is considered:** set an exposure limit supported by verified cash flows; assess security and collateral; include appropriate liquidity, leverage and reporting covenants; restrict material related-party transactions without independent approval; and require prompt notice of material export-control, litigation or control-remediation developments.
- **Enhanced due diligence:** verify beneficial ownership and control, review customer/end-user screening procedures and export licences, obtain evidence that ITGC remediation has operated effectively for a sufficient period, and update sanctions/restricted-party screening with a retained search log.

Method and limitations

The scorecards use project-defined weights and thresholds; they are illustrative and have not been calibrated to a bank portfolio or observed default data. The rating bands are 1.00–1.80 Very Low, 1.81–2.60 Low, 2.61–3.40 Moderate, 3.41–4.20 High and 4.21–5.00 Very High. DSO uses revenue as a proxy for credit sales. Liabilities / assets uses total liabilities, not interest-bearing debt alone. Interest coverage uses operating income as an EBIT proxy. The KYC score reflects public disclosures and a limited name-based screening exercise. No facility amount, borrower cash forecast, collateral package, bank statements, complete UBO file or transaction-level screening data was available. This is an independent research exercise, not a bank credit approval or legal opinion.

Selected sources

[1] SMCI FY2026 Form 10-K
[2] SMCI FY2024 Form 10-K (opening receivables for DSO)
[3] SMCI FY2027 Q1 Form 10-Q, filed 6 November 2026
[4] SMCI Form 8-K on EY resignation, filed 30 October 2024
[5] Special Committee findings, 2 December 2024
[6] U.S. Treasury OFAC Sanctions List Search
[7] U.S. Consolidated Screening List search